

How the U.S. Government Bought First Bank Shares Without Cash?

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Introduction:

American financial history has always possessed a structure that fascinates researchers. While investigating a topic, one often finds oneself exploring entirely different subjects. In my research into the history of bank reserves in the United States, I unexpectedly found myself uncovering the genius of Alexander Hamilton—specifically, how he managed to make the Treasury a shareholder in the first national bank with a capital investment of 2 million dollars without spending a single cent of cash. This bank was established by the act passed on February 25, 1791, titled 'An Act to incorporate the subscribers to the Bank of the United States' (An Act to Incorporate, 1791).

Sections 1 and 2 define the Bank's authorized capital and outline how private investors could participate by becoming shareholders. According to the Act, the Bank was to be established with a capital not exceeding \$10 million, divided into 25,000 shares valued at \$400 each. Private subscribers were required to pay one-quarter of their subscription in gold or silver (specie), with the remaining three-quarters paid in U.S. government securities. This arrangement can be seen as a major step toward broadening the demand for and circulation of Treasury securities, which had been issued only two years earlier, in 1789. Section 11 of the Act authorized the federal government to subscribe for up to 5,000 shares and permitted the President to borrow up to \$2 million to finance this subscription.

** Sec. 11. And be it further enacted, That it shall be lawful for the President of the United States, at any time or times, within eighteen months after the first day of April next, to cause a subscription to be made to the stock of the said corporation, as part of the aforesaid capital stock of ten millions of dollars, on behalf of the United States, to an amount not exceeding two millions of dollars; to be paid out of the monies which shall be borrowed by virtue of either of the acts, the one entitled "An act making provision for the debt of the United States;" and the other entitled "An act making provision for the reduction of the public debt;" borrowing of the bank an equal sum, to be applied to the purposes, for which the said monies shall have been procured; reimbursable in ten years, by equal annual instalments; or at any time sooner, or in any greater proportions, that the government may think fit.*

Source: Section 11 of the 'Act to Incorporate the Subscribers to the Bank of the United States', (U.S. Congress, 1791).

Section 11 mandated a dual-action mechanism: the government was to pay for its two-million-dollar subscription using funds borrowed under the specified acts, while simultaneously borrowing an equal sum from the Bank to replace the capital committed to these original public purposes. This provision may have been included because the government's borrowing directly from the Bank to finance its subscription to the same Bank's capital would have attracted criticism and made the Bank's balance sheet appear financially questionable.

How this arrangement was actually carried out is an important question. Fortunately, Hamilton (1793, February 4) addressed this issue directly in his report to Congress entitled Report on the Balance of All Unapplied Revenues, submitted on February 4, 1793. In this report, he explained the mechanism through which the federal government's subscription to the Bank of the United States was financed. In practical terms, the federal government's subscription to the Bank's capital stock was executed through bills of exchange drawn on funds associated with Dutch loans held in Amsterdam. Following the completion of the subscription, the Bank extended a loan of an equal amount to the government, and the bills employed in the operation were returned to the Treasury. The result was that the federal government obtained a \$2 million equity position in the Bank while incurring a corresponding \$2 million debt obligation. Pursuant to Section XI of the charter, this debt was to be amortized through ten equal annual installments.

I will explain Hamilton's ingenious financial engineering plan using a hypothetical bank balance sheet.

Bank			
Assets		Liabilities	
Amsterdam Bills	\$2 million	Capital	\$2 million

This hypothetical balance sheet illustrates how the U.S. Treasury financed its subscription to the bank by transferring Amsterdam bills of exchange to the Bank.

Bank

Assets		Liabilities	
Amsterdam Bills	\$2 million	Capital	\$2 million
Loans to Treasury	\$2 million	Treasury Deposits	\$2 million

Immediately thereafter, the Treasury borrowed the same amount from the bank. As shown in the hypothetical balance sheet, \$2 million in loans appeared on the asset side, matched by an equal amount of Treasury deposits on the liability side.

Bank

Assets		Liabilities	
Loans to Treasury	\$2 million	Capital	\$2 million

Treasury used its deposits to repurchase the Amsterdam bills of exchange from the bank. By extending the loan, the bank effectively financed the Treasury's subscription to the Bank. As Hamilton emphasized, not a single cent had left the Treasury's coffers. Under the Bank's Act, the Treasury was required to repay this loan in ten equal annual instalments.

I then attempted to trace this theoretically reconstructed transaction in the bank's actual balance sheets. Thanks to the invaluable research of Wetterau (1985), I was able to identify at least part of the transaction. I would now like to share this evidence with you.

June 29,		CR.	
DR.		Stock 1 st & 2 nd payment	2,000,000.00
Bills discounted	2,391,142.40	3 rd & 4 th "	1,333,550.00
Dr ^{ts} remitted Office Boston	100,000.00	Discount received	89,915.88
" " New York	100,000.00	Profit & loss	5,414.40
" " Baltimore	100,000.00	Interest a/c public debt	45,146.91
" " Charleston	84,981.67	Due to B. U. A.	107,453.50
Expense paid	90,829.90	Bank Notes in Circulation	581,470.00
Due by J. Burrall Cash	201,134.25	Post "	149,839.36
" " J. Smith	51,424.27	Deposit money a/c Individuals	983,887.64
Loaned U. S. No 1 & 3	2,000,000.00	" " a/c Government	791,155.87
" " No 2	100,000.00		
Government Bills	115,800.00		
Cash on hand	358,291.20		
	<u>5,729,096.00</u>		<u>5,729,096.00</u>

Source: Wetterau (1985, p:10)

In the balance-sheet record dated June 29, 1792, the bank reported \$2 million under "Loaned to U.S." on the asset side, while an equal amount of \$2 million was recorded under "Stock Payment" on the liability side.

This transaction attracted the attention of opposition members of Congress because it left a seemingly puzzling trace in the Treasury's liability accounts: the records appeared to show two separate debts of \$2 million each.

	for the purpose of effecting a subscription to the Capital Stock of the Bank of the United States, agreeably to an Act passed February 25th: 1791 ⁴²	2,000,000.
	For amount of a loan obtained from the Bank of the United States, agreeably to the last mentioned Act	2,000,000.
	For the excess of the first half yearly dividend on the capital stock of the Bank of the United States, held by the United States, beyond the interest payable to the Bank	8,028.
	For amount received from sundry Supervisors, on account of duties on distilled Spirits	208,942. 81.
	For amount received from the Collectors of the Customs, on account of duties on imports and tonnage	3,443,070. 85.
9,751,136. 56		9,751,136. 56.

Treasury Department
Register's Office, January 28th. 1793.
Stated by, Joseph Nourse, Register.

* Note. In the expenditures for the Quarter ending June 30th. and September 30th. 1792, are included Warrants to the amount of four millions of dollars, which were drawn for the purpose of effecting the subscription of five thousand shares to the Capital Stock of the Bank of the United States, and to cover the loan obtained in consequence thereof—Two millions of dollars being drawn to effect the subscription, and two millions for the amount of the loan. The Bills of exchange drawn by the Treasurer, on which these transactions were predicated, have been cancelled at the Treasury.

Source: The Papers of Alexander Hamilton, vol. 13, ed. Harold C. Syrett (Rotunda, 2011).

The Treasury records initially reflected two separate \$2 million obligations: one arising from the Amsterdam bills of exchange drawn to effect the government's subscription, and the other representing the loan obtained from the bank. However, as the note marked with an asterisk beneath the balance sheet explains, the bills of exchange underlying the first obligation were subsequently cancelled at the Treasury, leaving only the \$2 million debt owed to the bank.

I have sought to reconstruct a financial engineering operation carried out exactly 234 years ago: how the U.S. Treasury subscribed to the First Bank of the United States without spending a single cent from its coffers. I illustrate the transaction both theoretically and through the actual balance-sheet records of the Bank and the Treasury. I hope this study will prove useful to all scholars and readers interested in American financial history.

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2026

Sources:

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